In fact, however, this leverage could become of real value only if the profits exceeded any figure realized since 1926.

In the case of Beatrice Creamery the statistical showing is impressive on two important counts. The first is the consistently large earnings per share in the six years 1925–1930, amounting regularly to almost 50% on the current price of 12½. The second is the very large sales of the enterprise per dollar of common stock at market. Even at the low prices of dairy products in 1933 there were nine dollars of sales for each dollar of common stock. In 1929 the ratio was about eighteen to one. Manifestly there is need of only a very small profit per dollar of business done to yield a large percentage of earnings on the present price of the stock.

Certain other analytical features of the Beatrice exhibit are of interest, *viz.*:

1. The capitalization structure gives the common stock especially favorable speculative possibilities from the technical point of view. All of the relatively large senior capital is represented by preferred stock, which carries no danger of financial embarrassment.

2. The large tangible asset value in relation to the market price is not without significance. While this point must not be taken too seriously, it has a bearing on the question whether the company is likely to earn a reasonable amount on the common shares over the long future. Although a write-down of the fixed assets was in contemplation, this conclusion would hold also on the revised basis.

3. Assuming the write-down to be justified, it would imply that the depreciation charges in recent years had been larger than necessary. In the year ended February 1934, the depreciation charge was reduced to about $1,400,000, compared with $1,900,000 in the previous year. Had this rate applied for the 12 months ended February 1933, the company would have shown some earnings for its common stock in that year.

4. The working capital position is strong for this type of enterprise, and in relation to the market price of its shares.

Qualitative Considerations. A. *Baldwin Locomotive:* It would appear difficult to form any dependable conclusion as to the long-term prospects, or the normal earning power, of this enterprise. The industry is a basic one, and the exceedingly low rate of locomotive buying for some years past would undoubtedly point to a large accumulated demand. Nevertheless, the business has shown itself to be erratic in the extreme, and views as to its future performance must be more in the nature of conjecture than intelligent prediction.

B. *Beatrice Creamery:* The business of this company would seem to possess an underlying stability as well as permanence. The demand for dairy products is certainly not subject to the variations existing in the demand for locomotives.